Set Spending Goals by Category

Once you feel comfortable that you know where your money is going and you've identified some ways to cut costs in a number of categories, establish a monthly spending target for each category. Do your fixed expenses first, such as your mortgage and car payment. Look at each of your remaining budget categories and set a spending target, taking into consideration what you know about your own spending habits and where you can cut back without causing a hardship.

FACT

If you invested $280 every month instead of spending it on cigarettes, beer, or other common habits, and it earned a modest 5 percent return starting when you were thirty years old, by the time you reached retirement age you would have over $319,000! Think of what you could do with that money.

Calculating Your Net Income

When you've set a tentative target for each category, subtotal the income and expense categories and subtract the total expenses from the total income to arrive at your net income. This will be the amount of money you have left over for building an emergency fund, making additional payments on your credit cards, and working on your other financial goals, assuming you've recorded all of your income and expenditures accurately. If the number is negative, your expenses are greater than your income. Don't be discouraged. Your situation can no doubt be greatly improved by tweaking your spending habits. If you have a positive net income, be sure to transfer most of it to a savings or investment account at the end of each month. Extra cash left in a regular checking account has a way of getting spent.